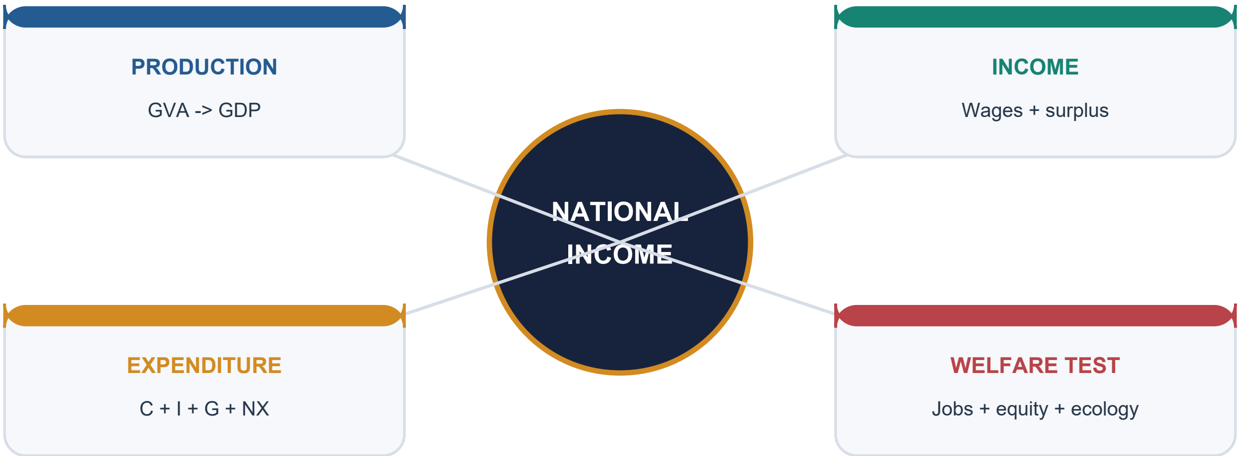
COMPLETE LEARNING SESSION

Polity 32 - Comptroller and Auditor General of India - Complete Topic Package

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing



Deterministic fallback visual: national income viewed through production, income, expenditure and welfare lenses.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

Polity 32 - Comptroller and Auditor General of India - Complete Topic Package

Control date: 19 August 2026, Asia/Kolkata **Evidence tags:** `[FACT]` directly supported by a named constitutional, statutory, official, judicial or audited local source; `[ANALYSIS]` reasoned exam use; `[CURRENT]` dated position; `[LIMIT]` qualification preventing overstatement. **Answer discipline:** claim -> named evidence -> analysis -> qualification. **Scope:** Articles 148-151; the Comptroller and Auditor-General's (Duties, Powers and Conditions of Service) Act, 1971; appointment, oath, tenure, removal and independence; audit-account distinction; expenditure, receipts, grants, companies, corporations and public-private revenue nexus; financial, compliance, propriety and performance audit; reports, PAC and CoPU; local bodies; cases; digital audit; limitations and reforms.

Package method, source priority and legal-current control

- [FACT] Local-first sequence followed: `Polity/basic/CAG.md` -> `Polity/advanced/32_CAG.md` -> Parliament, Finance Commission, Panchayati Raj and Municipalities owners only where necessary -> audited PYQ routing and integration ledgers.
- [FACT] Recent Polity packages 29-31 were used only as structural, visual and validation references.
- [CURRENT] Articles 148-151 were controlled against the Legislative Department's official Constitution page available on the control date.
- [FACT] The CAG's official text of the DPC Act was used for Sections 3-4 and 10-24; the India Code route was used as a parallel statutory locator.
- [FACT] Audit scope and process were checked against the CAG's Regulations on Audit and Accounts, Auditing Standards 2017, Performance Audit material and official audit-jurisdiction pages.
- [FACT] Government-company treatment was checked against the Companies Act, 2013 framework and the CAG's official financial-attest audit explanation.
- [FACT] Parliamentary accountability was controlled through official Lok Sabha material on the Public Accounts Committee and Committee on Public Undertakings.
- [FACT] Judicial propositions are kept narrow: *Arvind Gupta v. Union of India* on performance audit; *S. Subramaniam Balaji v. State of Tamil Nadu* on post-expenditure audit; *Arun Kumar Agrawal v. Union of India* on the status of a CAG report; and *Association of Unified Telecom Service Providers of India v. Union of India* on revenue-share audit access.
- [CURRENT] Digital-control material is safely dated: the 2020 Audit and Accounts Regulations expressly address IT environments and digital records; CDMA was established in June 2016; an official CAG press release dated 17 September 2025 described a strategic shift towards remote auditing.
- [LIMIT] Current officeholder names, live vacancies, audit-report inventories and headline loss figures are intentionally excluded.
- [LIMIT] Where the Constitution creates the office but Parliament supplies operational detail, this package states both levels and does not attribute the statutory rule to the constitutional text.

Authoritative evidence board

Named evidence	Claim controlled
Constitution, Article 148	appointment, oath, removal safeguard, service-condition protection, IAAD administration, charged office expenses, post-tenure bar
Constitution, Article 149	duties and powers prescribed by or under parliamentary law
Constitution, Article 150	form of Union and State accounts prescribed by the President on CAG advice
Constitution, Article 151	report to President/Governor and legislative laying
CAG DPC Act, Sections 3-4	salary framework; six years or age 65; resignation
CAG DPC Act, Sections 10-12	accounts compilation/preparation where responsibility remains
CAG DPC Act, Sections 13-18	expenditure, funds, receipts, stores/stock, grants and access
CAG DPC Act, Sections 19-20	companies, corporations and entrusted audits
CAG DPC Act, Sections 23-24	audit regulations, scope/extent and limited checks
Companies Act, 2013, Sections 139 and 143	government-company auditor appointment, directions, supplementary audit, comments and test audit
CAG Auditing Standards 2017	financial, compliance and performance-audit standards
CAG Regulations on Audit and Accounts, as amended in 2020	auditable entities, digital records, access and reporting process
Official PAC/CoPU material	legislative scrutiny after a CAG report is laid
Four controlled judgments	performance, timing, report status and private revenue-share boundary

Official links used for control

- Legislative Department, Constitution: `https://legislative.gov.in/document/constitution-of-india-in-english`
- CAG DPC Act and amendments: `https://cag.gov.in/en/page-duties-power-and-conditions-of-services-act`
- India Code locator: `https://www.indiacode.nic.in/handle/123456789/1569?view_type=browse`
- CAG Audit Regulations: `https://cag.gov.in/en/page-audit-regulations`
- CAG Auditing Standards and guidelines: `https://cag.gov.in/en/guidelines`
- CAG Performance Audit: `https://cag.gov.in/en/page-performance-audit`
- CAG financial-attest audit and government companies: `https://cag.gov.in/mab/mumbai-i/en/page-mab-mumbai-i-financial-attest-audit-introduction`
- CAG Centre for Data Management and Analytics: `https://cag.gov.in/en/page-cdma`
- CAG TGS local-body example: `https://cag.gov.in/ag1/gujarat/en/page-ag1-gujarat-tgs-cell-technical-guidance-support-cell`
- Official PAC introduction route: `https://sansad.in/ls/committee/financial-committees/26-public%20accounts`
- Official CoPU route: `https://sansad.in/ls/committee/financial-committees/27-Public%20Undertakings`
- Supreme Court text, *Association of Unified Telecom Service Providers* (17 April 2014), legal database reproduction: `https://indiankanoon.org/doc/112886265/`

Roadmap

Stage	Coverage	Exam outcome
Foundation	why public audit exists	connect legislative supply to executive accountability
Constitution	Articles 148-151 clause by clause	separate office design, statutory mandate and reporting
Office	appointment, oath, tenure, removal, service conditions	avoid Constitution-versus-statute traps
Function	audit versus accounts; auditor versus controller	explain ex-post character accurately
Reach	funds, receipts, grants, bodies, companies, corporations	identify the public-money nexus and its limits
Methods	financial, compliance, propriety, performance, IT/environment	classify audit without inventing constitutional wording
Accountability	President/Governor, legislature, PAC/CoPU, executive response	distinguish CAG findings from committee conclusions
Evaluation	cases, local bodies, independence, digital audit, reforms	write balanced GS-II answers
Workbook	five verified routed/cross-linked PYQs, 48 rotated MCQs and eight solved Mains	convert doctrine into marks

Visual 1 - Source and claim-control ladder

```
CONSTITUTION
  Articles 148-151
        |
PARLIAMENTARY LAW
  CAG DPC Act, 1971
        |
COMPANIES / ENTITY-SPECIFIC LAW
        |
CAG REGULATIONS + AUDITING STANDARDS
        |
JUDICIAL INTERPRETATION
        |
AUDIT FINDING -> LEGISLATIVE SCRUTINY
```

Caption: The Constitution creates and protects the office; legislation and valid regulations operationalise the audit mandate.

PART I - Complete foundation, core and advanced learning session

01. Why does a constitutional democracy need public audit?

[FACT] Parliament and State legislatures authorise taxation, appropriation and public expenditure. The executive administers those funds. An independent audit institution supplies the legislature with verified information on whether financial authority was respected and public resources were used responsibly.

[ANALYSIS] Public audit closes an information gap. The executive knows how money was assessed, collected, released and used; legislators and citizens do not possess the same records. The CAG converts inaccessible administrative records into an auditable public-accountability trail.

[LIMIT] Audit is not government. The CAG does not choose the elected government's policy, sanction each payment, prosecute an official or order recovery merely by issuing a report.

Visual 2 - The democratic financial-accountability triangle

```
LEGISLATURE
authorises revenue and expenditure
        |
        v
EXECUTIVE --------------------> PUBLIC SERVICE / PROGRAMME
implements and keeps records
        |
        v
CAG AUDIT
tests authority, evidence, compliance and performance
        |
        v
LEGISLATURE / COMMITTEE SCRUTINY
```

Caption: Audit returns evidence to the institution that granted financial authority.

Visual 3 - Four accountability questions

Question	Audit lens	Core evidence
Was money legally available?	appropriation/financial authority	Constitution, Appropriation Act, sanction
Was the rule followed?	compliance/regularity	statute, rule, contract, order
Was spending prudent?	propriety	public-finance norms, economy, avoidance of waste
Did the programme work?	performance	objectives, outputs, outcomes, economy-efficiency-effectiveness

Visual 4 - What the CAG does and does not do

CAG does	CAG does not
independently audit within legal mandate	govern the department
obtain and test records	pre-authorise every withdrawal
report findings to the constitutional route	punish an official directly
assist legislative committees with audit expertise	sit as a PAC/CoPU member or decide for them
recommend/systemically expose	automatically recover money

02. Constitutional architecture: Articles 148-151

Article 148 - Office, appointment and insulation

[FACT] Article 148 provides for a Comptroller and Auditor-General of India appointed by the President by warrant under his hand and seal.

[FACT] Before entering office, the CAG makes and subscribes an oath or affirmation before the President, or a person appointed by the President, in the form set out in the Third Schedule.

[FACT] Removal follows the same manner and grounds as removal of a Judge of the Supreme Court. The cross-reference imports the demanding Article 124(4) safeguard: an address by each House in the same session, supported by the constitutionally prescribed special majority, on proved misbehaviour or incapacity.

[FACT] Parliament may determine salary and other service conditions by law. After appointment, salary and rights concerning leave, pension or retirement age cannot be varied to the CAG's disadvantage.

[FACT] The CAG is ineligible for any further office under the Government of India or any State after ceasing to hold office.

[FACT] Administrative powers over the Indian Audit and Accounts Department and staff service conditions are prescribed by presidential rules after consultation with the CAG. The office's administrative expenses, including specified IAAD staff expenses, are charged on the Consolidated Fund of India.

[LIMIT] Article 148 does not itself say “six years or age 65”. That rule is in Section 4 of the DPC Act.

Article 149 - Constitutional gateway, statutory detail

[FACT] Article 149 requires the CAG to perform duties and exercise powers concerning Union, State and other authority/body accounts as prescribed by or under a law made by Parliament.

[ANALYSIS] Article 149 is an enabling constitutional gateway, not a complete checklist of every audit function. The DPC Act supplies the operating map.

Article 150 - Form of accounts

[FACT] The accounts of the Union and of the States are kept in the form prescribed by the President on the advice of the CAG.

[LIMIT] Advice on the form of accounts is not the same as universally compiling every account.

Article 151 - Reporting route

[FACT] Union audit reports are submitted to the President, who causes them to be laid before each House of Parliament. State audit reports are submitted to the Governor, who causes them to be laid before the State legislature.

[LIMIT] “Submitted to the President/Governor” does not mean the CAG may bypass them and lay the report directly in the House.

Visual 5 - Article map

Article	One-line function	Standard trap
148	office and independence architecture	importing statutory tenure into the Article
149	Parliament prescribes duties/powers	saying the Constitution itself lists every audit
150	form of accounts on CAG advice	saying CAG alone prescribes the form
151	reports through President/Governor to legislature	saying CAG directly tables reports

Visual 6 - Article 148 clause spine

```
APPOINTMENT -> OATH -> REMOVAL SAFEGUARD
        |
SERVICE-CONDITION PROTECTION
        |
NO FURTHER GOVERNMENT OFFICE
        |
IAAD ADMINISTRATION AFTER CONSULTATION
        |
CHARGED OFFICE EXPENSES
```

Visual 7 - Constitution versus statute

Issue	Constitutional source	Statutory source
appointing authority	Article 148	not recreated by DPC Act
removal protection	Article 148 read with Article 124(4)	not ordinary executive pleasure
service conditions may be set by Parliament	Article 148(3)	DPC Act Sections 3-9
tenure length and age ceiling	not numerically stated	Section 4: six years or age 65
detailed audit duties	Article 149 gateway	DPC Act Sections 13-20
report route	Article 151	Section 19A supplements company/corporation route

Visual 8 - Article 150 and accounts distinction

```
PRESIDENT
   |
prescribes form of Union/State accounts
   |
ON ADVICE OF CAG

Form-setting advice != universal day-to-day account compilation
```

Visual 9 - Article 151 report routes

```
UNION AUDIT REPORT                STATE AUDIT REPORT
        |                                 |
       CAG                               CAG
        |                                 |
    President                          Governor
        |                                 |
both Houses of Parliament           State Legislature
```

03. Appointment, oath, tenure, resignation and removal

[FACT] Appointment is a presidential act by warrant under hand and seal. The Constitution does not prescribe a collegium, parliamentary confirmation hearing or statutory shortlist.

[ANALYSIS] The appointing authority is constitutionally clear, but the selection process is institutionally sparse. This creates a standard independence debate: strong post-appointment protection coexists with executive control over initial selection.

[FACT] Section 4 of the DPC Act fixes the term at six years from assumption of office, subject to earlier vacation on attaining age 65. Resignation is by writing under the CAG's hand addressed to the President.

[FACT] The DPC Act links salary to that of a Supreme Court Judge and contains the pension/service-condition framework. Article 148 separately protects against disadvantageous post-appointment variation.

[FACT] Removal is not at presidential pleasure. It requires the same manner and grounds as a Supreme Court Judge.

[LIMIT] A “six-year term” is a maximum subject to the age ceiling, resignation, removal or other lawful demission; it is not an unconditional six-year guarantee in every case.

Visual 10 - Office-entry sequence

```
SELECTION BY EXECUTIVE
        |
PRESIDENTIAL WARRANT
        |
OATH / AFFIRMATION
        |
ASSUMPTION OF OFFICE
        |
SECTION 4 CLOCK STARTS
```

Visual 11 - Exit routes

Exit route	Legal control	Key distinction
completion	six years	statute
age	65 years, if earlier	statute
resignation	writing to President	statute
removal	like Supreme Court Judge	Constitution
post-office	no further Union/State government office	Constitution

Visual 12 - Removal safeguard chain

```
ALLEGATION
   |
proved misbehaviour or incapacity
   |
address by EACH HOUSE in SAME SESSION
   |
majority of total membership
AND 2/3 of members present and voting
   |
President's removal order
```

Caption: “Like a Supreme Court Judge” imports a constitutional legislative safeguard, not a simple executive decision.

Visual 13 - Independence at entry, during office and after office

Stage	Safeguard	Remaining question
entry	formal presidential warrant	selection criteria/process not constitutionally detailed
during office	hard removal, disadvantage bar, charged expenses	access, staffing and follow-up still matter
after office	no further Union/State government office	removes a major post-retirement incentive

04. Independence: design strengths and operational limits

Structural safeguards

- [FACT] Security of tenure through the Supreme-Court-Judge removal standard.
- [FACT] Service-condition disadvantage bar after appointment.
- [FACT] Charged administrative expenses of the office reduce annual voting leverage.
- [FACT] Post-tenure disqualification from further Union/State government office.
- [FACT] Administrative leadership of the Indian Audit and Accounts Department.
- [FACT] Statutory access powers under Section 18.

Operational limits

- [ANALYSIS] Executive control over selection may affect perceived independence even when actual audit work remains professional.
- [ANALYSIS] A single-member apex design concentrates institutional legitimacy in one appointment.
- [ANALYSIS] Charged expenditure protects formal finance, but audit capacity still depends on sanctioned posts, specialist skills, timely data and auditee cooperation.
- [ANALYSIS] A report's practical force depends on tabling, committee selection, hearings, executive replies and action taken.
- [LIMIT] Delay or weak follow-up is not proof that the CAG lacks constitutional independence; it shows that the accountability chain is interdependent.

Visual 14 - Independence shield

```
HARD REMOVAL
     +
NO DISADVANTAGE
     +
CHARGED OFFICE EXPENSES
     +
NO POST-GOVERNMENT OFFICE
     +
STATUTORY RECORD ACCESS
     =
FORMAL AUDIT INDEPENDENCE
```

Visual 15 - Formal independence versus effective influence

Dimension	Formal design	Effectiveness condition
tenure	strongly insulated	public trust in appointment
finance	charged office expenses	adequate modern audit capacity
evidence	Section 18 access	complete, interoperable and timely records
reporting	Article 151	prompt laying and committee examination
consequence	legislative oversight	reasoned executive action and monitoring

Visual 16 - Independence is a chain, not a switch

```
APPOINTMENT CREDIBILITY
        |
AUDIT AUTONOMY
        |
DATA ACCESS
        |
REPORT QUALITY
        |
LEGISLATIVE SCRUTINY
        |
EXECUTIVE CORRECTION
```

05. “Comptroller” or auditor? The audit-account-control distinction

[FACT] India's CAG predominantly performs post-facto audit. The Supreme Court in *S. Subramaniam Balaji* stated that the CAG's duty arises after expenditure is incurred and that the office examines legality, validity and propriety after implementation.

[ANALYSIS] This is why the standard description “Comptroller in name only” is useful: unlike the classic British exchequer-control model, India's CAG does not routinely authorise each issue of money before it leaves the Consolidated Fund.

[LIMIT] “No comptrolling role” should not be exaggerated into “no control”. CAG findings can trigger legislative scrutiny, system correction and legal consequences through the competent institutions; the point is that the CAG itself generally does not exercise day-to-day ex-ante payment control.

Audit versus accounts

[FACT] Sections 10-12 of the DPC Act deal with compilation, preparation and assistance concerning accounts where responsibility remains.

[FACT] Section 10 permits the President, after consultation with the CAG, to relieve the CAG from compiling Union accounts; corresponding State relief requires the constitutional/statutory route stated in the section.

[FACT] Union accounting was departmentalised in 1976, separating much Union account compilation from audit. CAG continues State account functions where not lawfully relieved.

[LIMIT] The safe statement is not “CAG compiles all Union and State accounts” and not “CAG compiles none”. Responsibility varies by level and valid relieving orders.

Visual 17 - Ex ante versus ex post

Question	Ex-ante controller	Indian CAG's predominant role
timing	before issue/payment	after transaction/expenditure
immediate power	withhold/authorise issue	audit, report, recommend
central forum	treasury control	legislature and committees
risk	delay in spending	correction after loss may be difficult

Visual 18 - Accounts and audit are different functions

```
ACCOUNTS
record + classify + compile + prepare statements

AUDIT
independently examine evidence + authority + accuracy + performance

Good design separates preparation from independent assurance.
```

Visual 19 - 1976 departmentalisation control

```
BEFORE DEPARTMENTALISATION
greater Union account-compilation role within CAG system
        |
1976 statutory/administrative change
        |
UNION DEPARTMENTS COMPILE THEIR ACCOUNTS
        |
CAG RETAINS INDEPENDENT AUDIT
```

Visual 20 - Safe answer matrix

Unsafe statement	Controlled formulation
CAG controls every withdrawal	CAG predominantly audits ex post
CAG compiles all accounts	CAG compiles/prepares where responsibility remains
audit and accounts are identical	preparation and independent examination are distinct
post-facto means powerless	influence operates through disclosure and legislative action

06. DPC Act map: duties, powers and audit reach

Sections 10-12 - Accounts responsibilities

[FACT] Section 10 concerns compiling and keeping accounts, subject to valid relieving orders. Section 11 concerns annual accounts prepared from accounts compiled by the CAG, government or another responsible person, again subject to relieving orders. Section 12 requires information and assistance where the CAG's accounts responsibility enables it.

Section 13 - General expenditure audit

[FACT] The CAG audits expenditure from the Consolidated Fund of India, each State and each Union Territory having a legislature. It tests whether money was legally available and applicable to the service or purpose and whether expenditure conformed to the governing authority.

[FACT] Section 13 also covers transactions relating to Contingency Funds and Public Accounts and departmental trading, manufacturing, profit-and-loss, balance-sheet and subsidiary accounts.

Section 14 - Substantially financed bodies or authorities

[FACT] Section 14(1) deems a body or authority substantially financed where the statutory monetary and proportion tests are met: government grant/loan of at least Rs 25 lakh in the financial year and at least 75 per cent of its total expenditure, subject to any applicable law.

[FACT] Section 14(2) permits audit, with previous approval of the President/Governor/Administrator as applicable, where grants or loans are at least Rs 1 crore. Section 14(3) continues audit for two further years after an audited year even if the tests are not met in those later years.

[LIMIT] These are statutory gateways, not a universal claim over every private, charitable or non-government body.

Section 15 - Specific-purpose grants or loans

[FACT] Section 15 focuses on how the sanctioning authority satisfies itself that grant/loan conditions were fulfilled. It gives access, with reasonable previous notice, to relevant books and accounts, subject to the corporation-related statutory limitation in subsection (2).

Sections 16-17 - Receipts, stores and stock

[FACT] Section 16 requires audit of receipts payable into the Consolidated Funds and examination of whether assessment, collection and allocation rules provide an effective check and are duly observed.

[FACT] Section 17 authorises audit and reporting on stores and stock accounts in Union or State offices/departments.

Section 18 - Access

[FACT] Section 18 authorises office inspection, requisition of accounts/books/papers/documents, questions and calls for information. The responsible office must provide facilities and respond completely and with reasonable expedition.

[LIMIT] Access follows the subject-matter jurisdiction of the Act; Section 18 is not a free-standing warrant over every record in India.

Sections 19-20 - Companies, corporations and entrusted audits

[FACT] Section 19 links government-company audit to company law and corporation audit to the governing legislation. State corporations may also enter the audit route through the statutory request mechanism.

[FACT] Section 20 allows audit of certain otherwise unaudited bodies/authorities when entrusted by the President, Governor or Administrator after consultation and subject to agreed terms, public interest and opportunity to represent.

Sections 23-24 - Scope and selective checking

[FACT] Section 23 authorises CAG regulations on scope and extent of audit and broad accounting/audit principles. Section 24 permits dispensing with part of detailed audit and applying a limited check when circumstances warrant.

[ANALYSIS] Section 24 supports risk-based and sample-based audit; it does not excuse arbitrary neglect.

Visual 21 - DPC Act functional map

Sections	Function
3-9	salary, tenure, pension and service conditions
10-12	accounts compilation/preparation/assistance
13	expenditure and fund transactions
14-15	financed bodies and grant/loan scrutiny
16-17	receipts; stores and stock
18	access and information
19-20	companies, corporations and entrusted bodies
23-24	regulations, scope, extent and limited checks

Visual 22 - Fund coverage

```
CONSOLIDATED FUND
  expenditure authority + applicability + conformity

CONTINGENCY FUND
  transactions audited

PUBLIC ACCOUNT
  transactions audited

RECEIPTS INTO CONSOLIDATED FUND
  assessment + collection + allocation systems
```

Visual 23 - Section 14 gateway

```
BODY / AUTHORITY
      |
government grant or loan?
      |
statutory amount + proportion test
      |
SUBSTANTIALLY FINANCED
      |
audit receipts and expenditure

Alternative Section 14(2):
Rs 1 crore or more + previous constitutional-executive approval
```

Visual 24 - Grant and loan distinction

Provision	Audit object	Core question
Section 14	receipts and expenditure of substantially financed body	does statutory finance nexus trigger entity audit?
Section 15	sanctioning authority's assurance procedures	were specific-purpose conditions checked and fulfilled?
Section 20	entrusted audit	was audit lawfully entrusted in public interest on agreed terms?

Visual 25 - Section 18 evidence route

```
AUDIT MANDATE
    |
inspect office
    |
call for accounts / books / documents / digital records
    |
ask questions and obtain information
    |
test evidence
    |
draft finding -> auditee response -> final report
```

07. Audit types: legal foundation, purpose and limits

Financial or attestation audit

[FACT] Financial audit determines whether financial information is presented according to the applicable reporting and regulatory framework and whether sufficient appropriate evidence supports an audit opinion or certification.

[LIMIT] A clean financial opinion does not prove that every programme was economical or effective.

Compliance or regularity audit

[FACT] Compliance audit tests transactions and activities against laws, rules, regulations, sanctions, contracts and other governing authorities.

[ANALYSIS] The Section 13 question “legally available and applicable” is the core appropriation/compliance floor.

Propriety audit

[FACT] Official CAG commentary describes propriety audit as looking beyond formal expenditure to its wisdom, faithfulness and economy and reporting waste, loss, extravagance or improper discretion.

[LIMIT] Propriety is not an unlimited licence to replace the elected government's policy choice with the auditor's preference. The safer boundary is policy implementation, financial prudence and stated objectives.

Performance audit

[FACT] Official CAG material defines performance audit as independent examination of whether public-sector undertakings, systems, programmes, operations or activities follow economy, efficiency and effectiveness.

[FACT] *Arvind Gupta v. Union of India* upheld performance audit and treated examination of economy, efficiency and effectiveness as in-built in the 1971 Act.

[LIMIT] Performance audit examines preparation/implementation and whether objectives were achieved; official guidance says it does not question legislative intentions and decisions as such.

Receipts audit

[FACT] Section 16 audits receipts payable into Consolidated Funds and examines assessment, collection and proper allocation systems.

IT, environment and thematic audit

[FACT] CAG manuals and guidelines cover information-systems/IT audit, environment and climate-change audit and theme-based audits.

[LIMIT] These are audit domains, methods or subjects under the wider mandate; they are not separately named constitutional offices or freestanding Article 149 categories.

Visual 26 - Audit-type matrix

Audit	Primary object	Main question	Typical output
financial	statements/accounts	fairly presented?	opinion/certificate/comments
compliance	transaction/activity	lawful and rule-conforming?	deviations and systemic causes
propriety	prudence/discretion	wise, faithful and economical?	waste/improper-discretion finding
performance	programme/system	economical, efficient, effective?	outcomes and improvement
receipts	revenue system	properly assessed, collected, allocated?	leakage/control findings
IT/environment/thematic	system or subject	do specialised criteria hold?	domain-specific audit findings

Visual 27 - Three E's

```
ECONOMY
right inputs at appropriate cost
          |
EFFICIENCY
best output from resources
          |
EFFECTIVENESS
intended objectives and outcomes achieved
```

Visual 28 - Legality, propriety and performance

Test	Minimum demand	Illustrative failure
legality	authority and sanctioned purpose	spending without valid appropriation
propriety	prudent public purpose and economy	lawful but avoidably extravagant purchase
performance	results relative to resources/objectives	compliant programme with poor outcomes

Visual 29 - Policy boundary

```
ELECTED GOVERNMENT
chooses lawful policy objectives
        |
CAG MAY TEST
authority + process + implementation + economy + results
        |
CAG SHOULD NOT
substitute its preferred policy merely because another choice was possible
```

Visual 30 - Financial audit is not performance audit

Financial statement may be	Programme may still be
accurately recorded	badly designed
properly classified	inefficiently delivered
free from material misstatement	ineffective in outcomes
compliant with accounting framework	wasteful in procurement or deployment

Visual 31 - Audit method selection

```
RISK / MATERIALITY / PUBLIC SIGNIFICANCE
                  |
         choose audit objective
                  |
financial / compliance / performance / combined
                  |
criteria + evidence + sampling + data analytics
                  |
balanced finding with auditee response
```

08. Government companies and statutory corporations

Government companies

[FACT] Under Companies Act, 2013 Section 139(5), the CAG appoints the auditor of a government company or a company owned/controlled by government within the statutory time. Section 139(7) governs the first auditor of a newly registered government company.

[FACT] Under Section 143(5), the CAG may direct the statutory auditor on the manner of audit and matters to report. Under Section 143(6), the CAG may conduct supplementary audit and comment upon or supplement the statutory auditor's report within the statutory period. Section 143(7) permits a test audit where considered necessary.

[ANALYSIS] This is a layered model: the company has a statutory auditor, while CAG appointment, directions, supplementary audit, comments and test audit protect the public-shareholding interest.

[LIMIT] It is not identical to departmental expenditure audit under Section 13.

Statutory corporations

[FACT] Section 19(2) makes CAG's duties and powers concerning a corporation established by or under parliamentary law depend on that corporation's governing legislation.

[LIMIT] There is no single universal audit model for every statutory corporation. The establishing law may provide sole CAG audit, supplementary arrangements or another structure.

Visual 32 - Government-company audit chain

```
CAG APPOINTS STATUTORY AUDITOR
        |
CAG MAY ISSUE DIRECTIONS
        |
STATUTORY AUDITOR EXAMINES FINANCIAL STATEMENTS
        |
CAG SUPPLEMENTARY AUDIT / COMMENTS
        |
COMPANY REPORT + LEGISLATIVE ACCOUNTABILITY
```

Visual 33 - Department, government company and statutory corporation

Entity	Primary audit route	Caution
ministry/department	DPC Act Sections 13, 16, 17	direct public-account route
government company	DPC Act Section 19 + Companies Act 2013	layered statutory-auditor/CAG model
parliamentary statutory corporation	governing Act + Section 19(2)	inspect entity-specific statute
State statutory corporation	governing law and possible Section 19(3) request	public-interest request conditions apply

Visual 34 - Audit model selection

```
WHAT IS THE ENTITY?
   |
department -> Section 13/16/17
   |
government company -> Companies Act + Section 19
   |
statutory corporation -> establishing law + Section 19
   |
other body/authority -> Sections 14/15/20 if conditions are met
```

09. Public-private nexus and controlled judicial doctrine

No universal private-sector jurisdiction

[LIMIT] CAG jurisdiction does not attach merely because an entity is private, large, regulated or politically controversial.

[FACT] A private or non-government entity can enter the audit field through a legally recognised public nexus: substantial public financing under Section 14, specific-purpose grants/loans under Section 15, revenue payable to the Consolidated Fund under Section 16 read with sectoral law/contract, government-company status, an entity-specific statute or lawful entrustment under Section 20.

Association of Unified Telecom Service Providers (2014)

[FACT] The Supreme Court considered proper computation of licence fee and spectrum charges payable to the Union under revenue-sharing UAS licences. It upheld audit access for determining the government's revenue share, relying on the public-resource and Consolidated-Fund connection.

[ANALYSIS] The case is important because audit followed the public revenue embedded in a private licence arrangement.

[LIMIT] The holding does not authorise a general CAG audit of every private company's complete business for all purposes. The audit was tied to revenue quantification under the licence/public-resource framework.

Arvind Gupta (2012 order, reported 2013)

[FACT] The Supreme Court rejected the challenge to performance audit and held that examination of economy, efficiency and effectiveness was in-built in the 1971 Act.

S. Subramaniam Balaji (2013)

[FACT] The Supreme Court stated that the CAG examines propriety, legality and validity after government expenditure is incurred.

Arun Kumar Agrawal (2013)

[FACT] The Supreme Court held that a CAG report commands respect as the work of a constitutional functionary but is subject to parliamentary/PAC scrutiny and cannot by itself automatically establish the final basis for judicial relief.

[ANALYSIS] Together, these cases define a powerful but bounded auditor: broad audit methods, post-facto timing, public-revenue reach and no automatic finality of every audit conclusion.

Visual 35 - Public-nexus test

```
PRIVATE / AUTONOMOUS ENTITY
          |
Is there a statutory public-finance or public-revenue nexus?
          |
  -----------------------------------------------
  |          |          |          |            |
Sec 14     Sec 15     Sec 16     Companies     Sec 20
finance     grant      revenue       Act       entrustment
          |
audit only to the legally justified scope
```

Visual 36 - Case matrix

Case	Controlled proposition	What not to claim
Arvind Gupta	performance audit valid; three E's in-built	CAG may redesign policy at will
S. Subramaniam Balaji	audit duty operates after expenditure	CAG pre-clears every scheme payment
Arun Kumar Agrawal	report respected but subject to legislative scrutiny	every audit paragraph is final proof
Association of Unified Telecom Service Providers	audit may follow revenue share from public resource	universal audit of all private firms

Visual 37 - Revenue-share audit boundary

```
PUBLIC RESOURCE / LICENCE
        |
PRIVATE OPERATOR EARNS REVENUE
        |
CONTRACT / LAW MAKES SHARE PAYABLE TO UNION
        |
CAG TESTS COMPUTATION OF GOVERNMENT SHARE
        |
NOT A GENERAL TAKEOVER OF PRIVATE COMPANY AUDIT
```

10. From audit finding to legislative accountability

Constitutional report route

[FACT] Article 151 sends Union reports to the President for laying before Parliament and State reports to the Governor for laying before the State legislature.

PAC and CoPU

[FACT] The Public Accounts Committee examines appropriation accounts, finance accounts and CAG reports relating to Union accounts. Official parliamentary material describes CAG as the Committee's friend, philosopher and guide.

[FACT] The Committee on Public Undertakings examines reports and accounts of specified public undertakings and relevant CAG reports, with attention to sound business and commercial principles.

[ANALYSIS] “Friend, philosopher and guide” means technical assistance, issue identification and evidentiary support. It does not make the CAG a committee member, political decision-maker or author of the committee's conclusions.

[LIMIT] PAC findings are not identical to the original audit paragraph. The committee hears the ministry/entity, may accept explanations, may disagree and produces its own report.

Executive follow-up

[ANALYSIS] The chain is complete only when ministries provide action-taken notes, accepted recommendations are implemented, systemic controls change and unresolved issues return to legislative scrutiny.

[LIMIT] CAG cannot directly punish, recover or compel implementation merely by issuing the audit report.

Visual 38 - Full accountability chain

```
AUDIT EVIDENCE
     |
CAG FINDING / REPORT
     |
PRESIDENT OR GOVERNOR
     |
LEGISLATURE
     |
PAC / CoPU / RELEVANT COMMITTEE
     |
MINISTRY OR ENTITY EVIDENCE
     |
COMMITTEE CONCLUSION
     |
ACTION-TAKEN RESPONSE
     |
SYSTEM CORRECTION / FURTHER SCRUTINY
```

Visual 39 - CAG finding versus committee conclusion

Stage	Author	Character
audit observation	audit office	evidence-based professional finding
CAG report	CAG	constitutional report
departmental reply	executive/entity	explanation, correction or contest
PAC/CoPU report	parliamentary committee	legislative conclusion/recommendation
action-taken note	executive	implementation/status response

Visual 40 - PAC and CoPU distinction

Feature	PAC	CoPU
principal focus	appropriation, finance and broader Union audit reports	specified public undertakings
CAG relationship	examines relevant CAG reports; audit assistance	examines relevant PSU CAG reports
policy boundary	normally implementation/expenditure, not policy wisdom as such	commercial prudence without daily management
final actor	committee, not CAG	committee, not CAG

Visual 41 - Why audit impact can decay

```
HIGH-QUALITY REPORT
      |
delay in laying?
      |
selective committee examination?
      |
weak ministry reply?
      |
slow action taken?
      |
finding loses corrective force
```

11. Local bodies, Finance Commissions and public audit

[FACT] Articles 243J and 243Z allow State legislatures to provide by law for maintenance and audit of Panchayat and Municipality accounts respectively.

[FACT] State Finance Commissions under Articles 243I and 243Y review local finances. Article 280(3)(bb) and (c) links the Union Finance Commission to measures augmenting State Consolidated Funds for Panchayat and Municipality resources on the basis of State Finance Commission recommendations.

[FACT] CAG's Technical Guidance and Support arrangements can guide local-fund auditors, test-check selected units, improve audit quality, train officials and support annual technical inspection reporting under applicable State arrangements.

[LIMIT] The CAG is not automatically the primary auditor of every Panchayat or Municipality merely because the 73rd and 74th Amendments exist. State law, entrustment and the applicable audit arrangement control the position.

[LIMIT] Social audit by the community is distinct from constitutional/statutory CAG audit, even though both support accountability.

Visual 42 - Local-body audit architecture

```
STATE LAW UNDER ARTICLES 243J / 243Z
                |
PRIMARY LOCAL-FUND AUDIT ARRANGEMENT
                |
possible CAG TECHNICAL GUIDANCE / SUPERVISION / TEST CHECK
                |
STATE-LEVEL REPORTING AND LEGISLATIVE ACCOUNTABILITY

No automatic one-size-fits-all national primary audit.
```

Visual 43 - Fiscal and audit links at the third tier

Link	Constitutional/statutory actor	Function
local revenue review	State Finance Commission	recommend devolution/grants/local fiscal reform
State fund augmentation	Union Finance Commission	recommend measures based on SFC route
accounts/audit law	State legislature	design under Articles 243J/243Z
technical audit support	CAG/State AG where arranged	standards, test check, quality and reporting support
community verification	social audit institutions	citizen-facing process, not CAG substitute

12. Limits, reforms and current digital controls

Institutional limitations

- [LIMIT] Ex-post audit may expose a loss after prevention is no longer possible.
- [LIMIT] The CAG reports but cannot directly impose penalties, recover money or prosecute.
- [LIMIT] Audit coverage of PPPs/private entities depends on a valid statutory, contractual, financing or revenue nexus.
- [LIMIT] Committee capacity and agenda constraints mean not every report or paragraph receives equal scrutiny.
- [LIMIT] Delayed laying, replies and action taken weaken timeliness.
- [LIMIT] Auditable digital systems may still contain fragmented, inaccessible or poor-quality data.
- [LIMIT] Expanding regulatory, platform and off-budget structures can make the public-money trail harder to follow.

Reform proposals

- [ANALYSIS] Publish objective eligibility, conflict and consultation criteria for appointment while preserving the President's constitutional act.
- [ANALYSIS] Institutionalise a transparent bipartisan or multi-institutional selection recommendation process through law/convention, subject to constitutional compatibility.
- [ANALYSIS] Set public timelines for report transmission, laying, committee selection, evidence and action-taken replies.
- [ANALYSIS] Strengthen dedicated PAC/CoPU research and follow-up capacity.
- [ANALYSIS] Build secure, standardised audit access to digital records, APIs, logs and data dictionaries.
- [ANALYSIS] Use risk-based analytics without abandoning professional judgment, field evidence or natural justice.
- [ANALYSIS] Clarify PPP, special-purpose vehicle and public-resource revenue audit clauses at contract-design stage.
- [ANALYSIS] Improve local-body audit interoperability while preserving State constitutional responsibility.
- [LIMIT] Making every recommendation legally binding could blur audit, executive and adjudicatory functions; stronger reasons and follow-up are preferable to automatic command.

Current digital controls

[CURRENT] The 2020 audit regulations expressly accommodate records and data maintained in an IT environment and strengthen the framework for digital access.

[CURRENT] CDMA, established in June 2016, is the IAAD nodal centre for data analytics and supports field offices and research.

[CURRENT] An official CAG press release dated 17 September 2025 announced a strategic shift towards remote auditing. The safe exam use is institutional direction - not an unsupported claim that all audits are now remote.

[ANALYSIS] Data analytics can improve universe scanning, anomaly detection, risk selection and cross-database verification. It can also reproduce poor data, opaque assumptions or false positives unless criteria, code, sampling and auditee responses are documented.

Visual 44 - Reform priority matrix

Problem	Reform	Qualification
appointment opacity	published criteria and plural recommendation process	President remains constitutional appointer
late reports/action	statutory or rule-based timelines	allow justified confidentiality/security exceptions
weak follow-up	recommendation-wise action dashboard	avoid reducing scrutiny to box-ticking
digital fragmentation	secure standard data-access protocols	protect privacy, security and data integrity
PPP ambiguity	audit clauses tied to public money/revenue	no universal private audit
local-body variation	TGS, standards and State capacity	respect State-law architecture

Visual 45 - Digital-audit control loop

```
DATA ACCESS
    |
quality + completeness + provenance
    |
ANALYTICS / RISK MODEL
    |
human audit judgement
    |
field and documentary corroboration
    |
auditee response
    |
balanced report + reproducible trail
```

Caption: Technology expands evidence reach; it does not replace legal mandate, professional judgement or procedural fairness.

Final learning-session synthesis

[ANALYSIS] The CAG's constitutional strength lies in independence of office, access to public financial evidence and a direct reporting relationship with legislatures. Its limitation is equally constitutional: it is an auditor, not an alternate executive, court or recovery agency.

[ANALYSIS] The best GS-II thesis is therefore relational: **Article 148 protects the auditor; Article 149 and the DPC Act define the audit; Articles 150-151 connect accounts and reports to democratic control; PAC/CoPU and executive action convert information into accountability.**

PYQ, Practice and Solved Workbook

Audited PYQ routing note

- [FACT] The audited CAG owners contain two direct Mains demands: 2018 GS-II Q5 and 2024 GS-II Q4.
- [FACT] The 2018 ledger records the demand, directive, marks and word limit but flags OCR corruption in the printed tail. The exact question is therefore not reconstructed; a neutral rendering is used.
- [FACT] The 2024 English wording below is reproduced from the locally held official-paper OCR.
- [FACT] Three Parliament-owner questions are included as verified adjacent applications because they directly test committees, financial committees and executive accountability through the CAG-PAC chain.
- [LIMIT] No direct CAG Prelims question with a safely usable key was found in the audited 2018-2026 routing ledgers. None is invented.

Visual 46 - PYQ ownership and adjacency

Year	Paper/Q	Demand	Status in this package
2018	GS-II Q5	appointment, terms and range of powers of CAG	direct owner; neutral rendering
2024	GS-II Q4	legality and propriety of expenditure	direct owner; exact local official-paper wording
2018	GS-II Q4	usefulness of parliamentary committees, especially Estimates Committee	adjacent; financial-committee distinction
2021	GS-II Q4	Parliament's ability to ensure executive accountability	adjacent; PAC/CAG route
2023	GS-II Q16	committee structure and role of financial committees	adjacent; PAC/CoPU architecture

Verified PYQ 1 - UPSC GS-II 2018, Q5 - 10 marks, 150 words

> **Neutral audited rendering:** Explain the method of appointment, terms of office and range of powers of the Comptroller and Auditor General of India.

Demand decoding

- **Explain** requires an orderly institutional account, not a reform essay.
- The three limbs - appointment, terms and powers - require visible separation.
- At 150 words, Articles 148-151 and the DPC Act should be named without listing every section.

Evidence-led model solution

The CAG is a constitutionally insulated auditor whose office is created by Article 148 and whose operational mandate is prescribed by Parliament.

Appointment: [FACT] The President appoints the CAG by warrant under hand and seal. The Constitution prescribes no collegium. The CAG takes the Third Schedule oath before the President or a nominee.

Terms: [FACT] Removal is in the same manner and on the same grounds as a Supreme Court Judge; service conditions cannot be varied to disadvantage, office expenses are charged and no further Union/State government office is permitted. [FACT] Section 4 of the DPC Act fixes six years or age 65, whichever is earlier, with resignation addressed to the President.

Powers: [FACT] Article 149 read with Sections 13-20 authorises audit of expenditure, fund transactions, receipts, stores, substantially financed bodies, grants, government companies/corporations and entrusted audits. Article 150 concerns account form; Article 151 routes reports to legislatures.

[LIMIT] The CAG audits predominantly ex post and cannot punish or recover directly.

Why this earns marks: It answers all three limbs, separates constitutional and statutory rules, names the main powers and ends with the decisive limit.

Verified PYQ 2 - UPSC GS-II 2024, Q4 - 10 marks, 150 words

> “The duty of the Comptroller and Auditor General is not merely to ensure the legality of expenditure but also its propriety.” Comment.

Demand decoding

- **Comment** requires a defended position with a boundary.
- The answer must distinguish legality, propriety and performance.
- The qualification is policy choice versus implementation/financial prudence.

Evidence-led model solution

The statement correctly captures the CAG's public-value role, provided propriety audit does not become an auditor's veto over lawful policy.

Legality is the floor: [FACT] Section 13 of the DPC Act requires the CAG to test whether money was legally available, applied to the authorised purpose and spent in conformity with governing authority. This protects legislative appropriation.

Propriety is the reach: [FACT] Official CAG commentary looks beyond form to the wisdom, faithfulness and economy of expenditure, exposing waste, extravagance and improper discretion. *S. Subramaniam Balaji* recognised post-expenditure examination of legality, validity and propriety.

Performance adds outcomes: [FACT] *Arvind Gupta* upheld examination of economy, efficiency and effectiveness. Thus, a transaction can be lawful yet wasteful or a compliant scheme can fail its objectives.

[LIMIT] Official performance guidance does not authorise questioning legislative intentions as such. Audit should test implementation, process, prudence and results, not substitute its preferred policy.

Therefore, legality protects authority; propriety and performance protect value for public money.

Why this earns marks: It comments rather than merely defines, uses the Act and two cases, and draws the essential policy boundary.

Verified Adjacent PYQ 3 - UPSC GS-II 2018, Q4 - 10 marks, 150 words

> **Neutral audited rendering:** Discuss the usefulness of parliamentary committees, with particular reference to the Estimates Committee.

Evidence-led model solution

Parliamentary committees make legislative scrutiny continuous, specialised and less partisan than the floor.

[FACT] The Estimates Committee has 30 Lok Sabha members and examines budget estimates to suggest economies, organisational improvement and alternative policy execution. It is forward-looking, unlike the Public Accounts Committee's post-expenditure scrutiny of appropriation, finance accounts and CAG reports.

[FACT] PAC has 22 members (15 Lok Sabha and 7 Rajya Sabha) and is conventionally chaired by the Opposition. CoPU has the same House composition and examines public undertakings and related CAG reports. Ministers are barred from the financial committees.

[ANALYSIS] Committees overcome time and expertise constraints, call officials, compare records and convert technical audit into accountable parliamentary findings. The Estimates Committee can identify prospective economy; PAC closes the loop after expenditure.

[LIMIT] Recommendations are advisory, committee agendas are selective and strong majority discipline may weaken follow-up.

Thus, committees are Parliament's working scrutiny machinery; their usefulness depends on evidence, timely reports and executive action.

Why this earns marks: It centres the Estimates Committee while using PAC/CAG and CoPU only for sharp institutional comparison.

Verified Adjacent PYQ 4 - UPSC GS-II 2021, Q4 - 10 marks, 150 words

> **Neutral audited rendering:** To what extent is Parliament able to ensure the accountability of the executive in India?

Evidence-led model solution

Parliament possesses strong accountability instruments, but their effectiveness is uneven.

[FACT] Questions, motions, debates, budget voting and committee scrutiny compel explanation. Financial accountability is especially structured: Articles 112-114 authorise expenditure, the CAG audits under Articles 149-151 and the DPC Act, and PAC/CoPU examine relevant reports and ministry evidence.

[ANALYSIS] This chain turns executive records into independent audit, audit into legislative findings and findings into action-taken commitments. Department-related committees add sectoral scrutiny.

However, [ANALYSIS] anti-defection discipline, government control of House time, the guillotine, limited sittings, selective committee examination and delayed action-taken replies reduce the practical bite. [LIMIT] A CAG report itself is not Parliament's final conclusion; *Arun Kumar Agrawal* confirms the role of parliamentary scrutiny and ministry response.

Therefore, Parliament is institutionally capable but politically and procedurally constrained: accountability is strong in instruments, variable in use.

Why this earns marks: It directly answers “to what extent”, names the audit chain and balances formal power with operational limits.

Verified Adjacent PYQ 5 - UPSC GS-II 2023, Q16 - 15 marks, 250 words

> **Neutral audited rendering:** Explain the structure of the parliamentary committee system and the role of financial committees.

Evidence-led model solution

Parliament's committee system combines continuing oversight with task-specific inquiry and allows detailed work that the House floor cannot sustain.

Structure: Standing committees are continuing categories, generally reconstituted periodically. They include the three financial committees, Department-related Standing Committees and House/oversight committees such as Privileges, Ethics, Subordinate Legislation and Government Assurances. Ad hoc committees include Select/Joint Committees on Bills and Joint Parliamentary Committees for specified tasks.

Financial committees: [FACT] PAC has 22 members (15 Lok Sabha and 7 Rajya Sabha), an Opposition chair by convention and examines appropriation/finance accounts and CAG reports after expenditure. [FACT] The Estimates Committee has 30 Lok Sabha members only and seeks economy, efficiency and administrative improvement in estimates. [FACT] CoPU has 22 members (15+7) and examines public undertakings, their reports/accounts and relevant CAG reports. Ministers cannot sit on these committees.

Role: [ANALYSIS] The trio spans the financial cycle: Estimates is prospective, CAG-PAC is post-expenditure accountability, and CoPU specialises in commercial public enterprise. Committees call records and officials, separate CAG findings from ministry explanations and issue parliamentary conclusions.

Limits: Recommendations are advisory; scrutiny is selective; delays in reports, hearings and action taken weaken consequence. CAG assists but neither belongs to nor decides for PAC/CoPU.

Thus, financial committees operationalise Parliament's power of the purse, but their impact depends on timely evidence and follow-up.

Why this earns marks: It explains both structural categories and the distinctive role of each financial committee, with exact composition and a qualified verdict.

Original MCQs - 36 questions

OM1. Constitutional appointment

The Comptroller and Auditor General of India is appointed

A. by the President by warrant under hand and seal B. by the President after mandatory parliamentary confirmation C. by Parliament through a joint resolution D. by the Chief Justice of India

Answer: A.

[FACT] Article 148 specifies presidential appointment by warrant under hand and seal; no confirmation hearing is constitutionally required.

OM2. Form of accounts

Under Article 150, the form in which Union and State accounts are kept is prescribed by

A. the CAG acting alone B. the President on the advice of the CAG C. Parliament by annual resolution D. the Finance Commission

Answer: B.

[FACT] Article 150 uses the President-on-CAG-advice formulation.

OM3. Tenure source

Which statement is correct regarding CAG tenure?

A. Article 148 itself fixes five years B. Article 149 fixes six years without an age limit C. Section 4 of the DPC Act fixes six years or age 65, whichever is earlier D. tenure continues during the President's pleasure

Answer: C.

[FACT] The numerical tenure rule is statutory, not written in Article 148.

OM4. Post-tenure position

After ceasing to hold office, the CAG

A. may become a Governor but not a Union Minister B. may accept a State post after a cooling-off period C. may hold another office if Parliament approves D. is ineligible for further office under the Union or any State government

Answer: D.

[FACT] Article 148(4) creates the post-office bar.

OM5. Removal

The CAG may be removed

A. in the same manner and on the same grounds as a Supreme Court Judge B. by the President on Cabinet advice without legislative action C. by a simple majority of the Lok Sabha D. by the Chief Justice of India after inquiry

Answer: A.

[FACT] Article 148 imports the Supreme-Court-Judge removal safeguard.

OM6. Article 149

Article 149 primarily provides that CAG duties and powers are

A. exhaustively listed in the Constitution B. prescribed by or under law made by Parliament C. determined by State legislatures D. limited to Union expenditure

Answer: B.

[FACT] Article 149 is the constitutional gateway to parliamentary prescription.

OM7. Article 151 State route

A CAG report relating to State accounts is submitted to the

A. President for laying before Parliament B. Chief Minister for direct publication C. Governor for laying before the State legislature D. State PAC for initial approval

Answer: C.

[FACT] Article 151(2) establishes the Governor-to-State-legislature route.

OM8. Direct enforcement

Which is NOT a power that follows merely from issuing a CAG report?

A. informing legislative scrutiny B. recommending system correction C. supporting PAC/CoPU examination D. directly punishing an executive official

Answer: D.

[LIMIT] Penalty, recovery and prosecution require action by legally competent authorities.

OM9. Audit timing

The description “Comptroller in name only” principally refers to the fact that India's CAG

A. predominantly audits after expenditure rather than pre-authorising each issue of funds B. lacks access to government records C. cannot audit receipts D. reports only to the executive

Answer: A.

[FACT] *S. Subramaniam Balaji* confirms post-expenditure examination; the phrase concerns ex-ante issue control.

OM10. Accounts function

Which statement is most accurate?

A. CAG universally compiles every Union and State account B. CAG compiles/prepares accounts where responsibility remains under Sections 10-12 and valid orders C. CAG has no accounts-related function after 1976 D. Finance Commission compiles government accounts

Answer: B.

[FACT] Departmentalisation changed Union responsibilities, but the DPC Act preserves accounts functions where not relieved.

OM11. Section 13

Section 13 requires the CAG, among other things, to test whether expenditure from a Consolidated Fund

A. generated a political consensus B. was approved by the PAC before payment C. was legally available, applicable to the purpose and conformed to authority D. achieved every policy objective

Answer: C.

[FACT] This is the statutory appropriation/compliance core.

OM12. Fund transactions

Under Section 13, which pair is also audited?

A. only State contingency grants and private deposits B. only Consolidated Fund withdrawals C. municipal social audits and cooperative elections D. transactions relating to Contingency Funds and Public Accounts

Answer: D.

[FACT] Section 13 expressly includes these transactions.

OM13. Section 14(1)

For the statutory deemed substantial-finance test in Section 14(1), the grant or loan must be at least

A. Rs 25 lakh and at least 75 per cent of total expenditure B. Rs 10 lakh and at least 50 per cent of revenue C. Rs 1 crore with no proportion test in every case D. any amount approved by the PAC

Answer: A.

[FACT] These are the stated Section 14(1) thresholds; Section 14(2) is a separate route.

OM14. Section 15

Section 15 primarily scrutinises

A. election expenditure of political parties B. procedures by which a sanctioning authority assures compliance with specific-purpose grant/loan conditions C. every transaction of an unfinanced private company D. the constitutional validity of taxation

Answer: B.

[FACT] Section 15 centres the grant/loan assurance process.

OM15. Receipts audit

Section 16 requires audit of

A. receipts of private associations unrelated to government B. only GST Council recommendations C. receipts payable into Consolidated Funds and the systems for assessment, collection and allocation D. political donations

Answer: C.

[FACT] The receipt must connect to the Consolidated Fund mandate.

OM16. Access power

Section 18 does NOT create

A. authority to inspect relevant offices B. power to call for relevant documents C. power to seek information from responsible officers D. free-standing universal jurisdiction over every record in India

Answer: D.

[LIMIT] Access follows an existing audit duty.

OM17. Audit types

Which audit asks whether financial information is presented according to the applicable reporting framework?

A. financial audit B. propriety audit C. performance audit D. receipts audit

Answer: A.

[FACT] Financial audit provides assurance on financial statements/information.

OM18. Compliance audit

Compliance audit primarily compares activities and transactions with

A. popular opinion B. applicable law, rules, sanctions, contracts and governing authority C. the auditor's preferred policy D. only accounting estimates

Answer: B.

[FACT] Compliance criteria are authoritative requirements.

OM19. Performance audit

The three E's are

A. equality, entitlement and enforcement B. economy, equity and ethics C. economy, efficiency and effectiveness D. evidence, enforcement and expenditure

Answer: C.

[FACT] Official CAG performance-audit guidance uses economy, efficiency and effectiveness.

OM20. Propriety boundary

Which is the safest formulation?

A. propriety audit is prohibited by the DPC Act B. propriety audit lets CAG choose policy for the government C. propriety and legality are identical D. propriety tests prudence and economy but should not become an unlimited policy veto

Answer: D.

[FACT] Official commentary tests wisdom, faithfulness and economy; [LIMIT] elected policy space remains.

OM21. Government-company auditor

Under the Companies Act, 2013 framework, the statutory auditor of a government company is appointed by

A. the CAG under the applicable Section 139 route B. PAC C. the Finance Ministry without CAG involvement D. CoPU

Answer: A.

[FACT] Sections 139(5)/(7) govern the CAG appointment role.

OM22. Supplementary audit

The CAG's supplementary audit of a government company's financial statements is associated with

A. Article 280 B. Section 143(6) of the Companies Act, 2013 C. Section 15 of the DPC Act alone D. Article 324

Answer: B.

[FACT] Section 143(6) provides the supplementary audit/comment route.

OM23. Statutory corporation

Audit of a corporation established by parliamentary law is principally controlled by

A. a universal identical model for all corporations B. private agreement alone C. its governing legislation read with DPC Act Section 19(2) D. a PAC resolution creating jurisdiction

Answer: C.

[FACT] Section 19(2) defers to the respective legislation.

OM24. Entrusted audit

Section 20 audit requires, among other safeguards,

A. no consultation with CAG B. automatic application to all NGOs C. only a newspaper allegation D. lawful request/empowerment, public interest, consultation and opportunity to represent

Answer: D.

[FACT] Section 20 contains these procedural and public-interest controls.

OM25. Telecom judgment

The 2014 telecom audit case supports the proposition that CAG may

A. audit records needed to verify the government's revenue share under the public-resource/licence arrangement B. audit every private company for every purpose C. replace TRAI as sector regulator D. impose licence penalties directly

Answer: A.

[FACT] The holding was tied to licence fee/spectrum charge revenue computation.

OM26. Arvind Gupta

Arvind Gupta v. Union of India is significant because it

A. abolished performance audit B. upheld CAG examination of economy, efficiency and effectiveness C. made every CAG recommendation binding D. created a collegium for CAG appointment

Answer: B.

[FACT] The Supreme Court rejected the constitutional challenge to performance audit.

OM27. Arun Kumar Agrawal

The controlled proposition from *Arun Kumar Agrawal* is that

A. a CAG report has no public value B. PAC must accept every audit paragraph C. a CAG report commands respect but is subject to parliamentary scrutiny and is not automatically final proof D. courts may never read a CAG report

Answer: C.

[FACT] The case emphasises report scrutiny and ministry/PAC response.

OM28. PAC relation

The CAG is best described in relation to PAC as

A. the voting chairperson B. a ministerial representative C. the final parliamentary decision-maker D. technical friend, philosopher and guide, not a committee member

Answer: D.

[FACT] Official parliamentary usage supports the phrase; [LIMIT] the committee makes its own conclusions.

OM29. CoPU

CoPU principally specialises in

A. public undertakings and relevant CAG reports/accounts B. judicial appointments C. election finance D. State Finance Commission reports

Answer: A.

[FACT] CoPU is the public-enterprise financial committee.

OM30. CAG report sequence

Which sequence is constitutionally and institutionally sound for a Union report?

A. CAG -> PAC -> President -> Supreme Court B. CAG -> President -> Parliament -> committee scrutiny -> executive action taken C. CAG -> Prime Minister -> company auditor -> Parliament D. CAG -> Finance Commission -> Governor -> Lok Sabha

Answer: B.

[FACT] Article 151 supplies the President-to-Parliament route; committees and action taken follow.

OM31. Local bodies

Which statement is correct?

A. CAG is automatically the sole primary auditor of every local body B. Articles 243J/243Z abolish State audit law C. State law controls local-body accounts/audit, while CAG may provide TGS or audit under applicable arrangements D. social audit is identical to CAG audit

Answer: C.

[FACT] Local audit architecture is State-law dependent.

OM32. Finance Commission link

The Union Finance Commission's local-body function under Article 280(3)(bb)/(c) relates to

A. appointing local auditors B. directly levying municipal tax C. replacing State Finance Commissions D. measures augmenting State Consolidated Funds for Panchayat/Municipality resources on the SFC basis

Answer: D.

[FACT] This is the constitutional fiscal link.

OM33. Charged expenses

The constitutional charging of CAG office administrative expenses primarily protects

A. the office from ordinary annual voting leverage over those expenses B. the CAG from all legislative scrutiny C. every audit recommendation from rejection D. every State local-fund auditor

Answer: A.

[FACT] Article 148(6) is a financial-independence safeguard, not immunity from accountability.

OM34. Digital audit

CDMA is

A. a parliamentary committee B. IAAD's nodal centre for data analytics, established in June 2016 C. a private statutory auditor association D. a Finance Commission grant portal

Answer: B.

[CURRENT] The official CAG page records its establishment and nodal role.

OM35. Remote auditing

The safest use of the 17 September 2025 official CAG announcement is that

A. field audit has legally ceased B. all reports are now generated by artificial intelligence C. CAG announced a strategic shift towards remote auditing, without proving every audit is remote D. Article 151 was amended

Answer: C.

[CURRENT] The announcement signals institutional direction; [LIMIT] it does not justify universalisation.

OM36. Reform principle

Which reform best preserves separation of functions?

A. make CAG the prosecutor and final court for audit objections B. allow CAG to stop any policy it dislikes C. transfer PAC's conclusions to CAG D. strengthen transparent appointment, data access, timely tabling and reasoned follow-up without automatic binding force

Answer: D.

[ANALYSIS] Stronger audit and stronger legislative consequence need not convert the auditor into executive or judge.

Remedial MCQs - 12 questions

RM1. Article-statute trap

Which fact comes from the DPC Act rather than the numerical text of Article 148?

A. six years or age 65, whichever is earlier B. appointment by presidential warrant C. no further government office D. removal like a Supreme Court Judge

Answer: A.

[FACT] Section 4 supplies the term/age rule.

RM2. Report-route trap

Who causes a Union CAG report to be laid before each House of Parliament?

A. PAC Chairperson B. the President C. the CAG directly D. the Speaker alone

Answer: B.

[FACT] Article 151(1) uses the President route.

RM3. Section 14 trap

Which statement is correct?

A. Section 14 automatically covers every PPP B. any grant amount creates permanent CAG jurisdiction C. Section 14 uses statutory finance tests and applicable-law qualifications D. Section 14 concerns only tax receipts

Answer: C.

[FACT] Jurisdiction depends on the statutory gateway.

RM4. Section 18 trap

Section 18 access is best understood as

A. a general search power unrelated to audit B. a power only over Parliament C. authority to seize any private device D. evidence access connected to duties under the Act

Answer: D.

[LIMIT] Access is strong but mandate-linked.

RM5. Audit-type trap

A lawful purchase made at an avoidably extravagant price most directly raises

A. a propriety concern B. only a form-of-accounts question C. a presidential-election dispute D. no audit concern

Answer: A.

[FACT] Propriety goes beyond formal legality to wisdom and economy.

RM6. Performance boundary

Performance audit primarily examines

A. whether the auditor prefers a different ideology B. economy, efficiency, effectiveness and implementation/results C. criminal guilt beyond reasonable doubt D. constitutional amendment procedure

Answer: B.

[FACT] Official standards focus on three E's and results.

RM7. Government-company trap

Which is correct?

A. PAC appoints the company auditor B. CAG itself must conduct the company's entire primary statutory audit in every case C. CAG appoints the statutory auditor and may direct/supplement/test under Companies Act provisions D. government companies are outside public audit

Answer: C.

[FACT] The Companies Act creates a layered model.

RM8. Case-law trap

The telecom case should NOT be cited for

A. public-resource revenue accountability B. verification of licence-fee revenue share C. audit access tied to Consolidated-Fund receipts D. universal CAG jurisdiction over all private business

Answer: D.

[LIMIT] The public-revenue nexus controls the holding.

RM9. Committee trap

Which statement is correct?

A. CAG findings and PAC conclusions are institutionally distinct stages B. CAG votes in PAC C. PAC cannot hear a ministry response D. CoPU examines only private companies

Answer: A.

[FACT] Legislative committees independently evaluate audit and executive evidence.

RM10. Local-body trap

Technical Guidance and Support means

A. automatic abolition of State local-fund auditors B. standards, training, test checks and quality support under applicable arrangements C. direct CAG control over local elections D. the same thing as a Gram Sabha social audit

Answer: B.

[FACT] Official TGS material lists these support functions.

RM11. Digital-audit trap

Data analytics should be used with

A. no documented criteria B. automatic presumption of guilt from an anomaly C. data-quality checks, human judgement, corroboration and auditee response D. removal of field evidence in every case

Answer: C.

[ANALYSIS] Analytics identifies risk; it does not by itself prove an audit conclusion.

RM12. Institutional-design trap

Which statement best summarises the CAG?

A. an alternate executive controlling policy B. a court whose reports are decrees C. a private financial consultant D. an independent constitutional auditor whose influence depends on legislative follow-up

Answer: D.

[ANALYSIS] This formulation captures both independence and the enforcement limit.

Original solved Mains practice - 8 questions

Original Solved Mains 1 - 10 marks, 150 words

Question: Explain how Article 148 protects the independence of the Comptroller and Auditor General of India. Are these safeguards sufficient?

Model solution

Article 148 gives the CAG unusually strong security after appointment.

Tenure and removal: [FACT] Removal is in the same manner and on the same grounds as a Supreme Court Judge, not at executive pleasure. This protects adverse audit from retaliatory dismissal.

Financial/service protection: [FACT] Salary and specified service rights cannot be varied to disadvantage after appointment. The office's administrative expenses are charged on the Consolidated Fund of India.

Institutional autonomy: [FACT] The CAG heads the Indian Audit and Accounts Department; presidential staff rules follow consultation. [FACT] The post-tenure bar on further Union/State government office reduces a future-office incentive.

Yet safeguards are not complete. [ANALYSIS] The Constitution does not prescribe a plural selection body or transparent criteria. Effective independence also requires specialist staff, complete digital records, timely tabling and credible committee follow-up.

Therefore, Article 148 strongly protects tenure and office, but perceived independence begins at appointment and practical influence ends in the legislature.

Why this earns marks: It explains each Article 148 safeguard, links design to purpose and evaluates sufficiency without confusing operational weakness with legal dependence.

Original Solved Mains 2 - 10 marks, 150 words

Question: “India's CAG is a Comptroller only in name.” Explain with suitable constitutional and judicial support.

Model solution

The description contrasts ex-ante control of fund issue with India's predominantly ex-post audit model.

[FACT] Article 149 read with the DPC Act authorises audit of expenditure, transactions and receipts; Article 151 sends reports to legislatures. It does not ordinarily require the CAG's prior approval before each government payment.

[FACT] In *S. Subramaniam Balaji v. State of Tamil Nadu*, the Supreme Court stated that the CAG examines legality, validity and propriety after expenditure has been incurred. Union account departmentalisation from 1976 further separated account compilation from independent audit.

[ANALYSIS] The CAG therefore cannot routinely prevent an irregular payment at source. Its power is disclosure: testing authority, propriety and performance, followed by PAC/CoPU scrutiny and executive correction.

[LIMIT] “In name only” should not imply insignificance. Audit findings can expose systemic failure, support legislative accountability and lead competent authorities to recovery, discipline or reform.

Thus, the Indian CAG is mainly an Auditor-General; the legislature supplies the consequential control.

Why this earns marks: It defines the phrase, uses Article 149/151 and a named case, and qualifies the rhetorical expression.

Original Solved Mains 3 - 10 marks, 150 words

Question: Distinguish the CAG's audit function from its accounts-related responsibilities after departmentalisation of Union accounts.

Model solution

Accounts preparation and independent audit serve different institutional purposes.

Accounts: [FACT] Sections 10-12 of the DPC Act concern compiling, keeping and preparing accounts and assisting governments where responsibility remains. Section 10 permits lawful relieving orders after consultation. Union accounts were departmentalised in 1976, so ministries/departments assumed much of Union compilation.

Audit: [FACT] Sections 13-20 independently authorise examination of expenditure, fund transactions, receipts, stores, financed bodies, companies/corporations and entrusted entities. Article 151 then routes reports to legislatures.

[ANALYSIS] Accounts create the financial record; audit tests that record and the underlying transactions against authority, accuracy, propriety and performance. Separating preparation from assurance strengthens objectivity.

[LIMIT] Two absolutes are wrong: CAG neither compiles all Union/State accounts nor lacks every accounts function. State and other responsibilities continue where not validly relieved.

The post-1976 design therefore narrows Union accounting responsibility while preserving constitutional audit.

Why this earns marks: It uses statutory sections, explains the institutional logic and states the variable-responsibility qualification.

Original Solved Mains 4 - 15 marks, 250 words

Question: Analyse the legal basis and democratic value of financial, compliance, propriety and performance audits conducted by the CAG.

Model solution

Public audit is layered: each type answers a different question about the same public transaction or programme.

Legal architecture: [FACT] Article 149 makes parliamentary law the operational source. Section 13 requires audit of Consolidated-Fund expenditure, fund transactions and departmental commercial accounts; Sections 16-18 cover receipts, stores/stock and access; Section 23 authorises regulations on scope and extent.

Financial audit provides assurance whether financial information is fairly presented under the applicable reporting framework. It protects reliability but does not itself prove programme success.

Compliance audit tests law, appropriation, sanction, rules, contracts and authority. Section 13's “legally available and applicable” requirement protects the legislature's power of the purse.

Propriety audit [FACT] looks beyond formal legality to wisdom, faithfulness and economy. It can expose lawful-looking extravagance, waste and improper discretion. [LIMIT] It should test implementation and prudence, not replace a lawful policy choice.

Performance audit examines economy, efficiency and effectiveness. [FACT] *Arvind Gupta v. Union of India* upheld this function as in-built in the 1971 Act; official guidance focuses on implementation and results rather than questioning legislative intentions as such.

Democratic value: [ANALYSIS] Financial audit makes records credible; compliance protects authority; propriety protects prudence; performance protects outcomes. Article 151 then converts technical findings into legislative information.

[LIMIT] Audit recommendations are not self-executing. PAC/CoPU scrutiny, ministry evidence and action taken determine correction.

Thus, the four lenses are complementary: legality is the floor, reliable accounts the evidence base, propriety the public-finance conscience and performance the outcome test.

Why this earns marks: It supplies legal anchors, distinguishes the four types, explains value and preserves policy and enforcement boundaries.

Original Solved Mains 5 - 15 marks, 250 words

Question: To what extent can the CAG audit private entities and public-private partnerships? Discuss with reference to the public-finance nexus.

Model solution

CAG jurisdiction follows public money, public revenue or lawful entrustment; it does not arise from private status alone.

Statutory routes: [FACT] Section 14 covers receipts and expenditure of bodies/authorities meeting the substantial-finance tests, subject to applicable law. Section 15 scrutinises how government assures compliance with specific-purpose grant/loan conditions. Section 16 audits receipts payable into Consolidated Funds. Section 20 permits entrusted audit in public interest after consultation, agreed terms and opportunity to represent.

Company/public-resource routes: Government companies fall under Section 19 read with Companies Act Sections 139 and 143. In *Association of Unified Telecom Service Providers of India v. Union of India* (2014), the Supreme Court upheld access to private telecom records required to verify licence fee and spectrum charges payable to the Union under revenue-sharing licences. The audit followed a scarce public resource and the government's Consolidated-Fund revenue.

PPP implication: [ANALYSIS] A PPP contract should identify public grants, viability support, user-fee/revenue sharing, guarantees, asset reversion, performance criteria, data access and audit rights. This enables audit of the public side without converting CAG into the ordinary auditor of the partner's entire unrelated business.

Limits: [LIMIT] Regulation, public importance or controversy alone is insufficient. Trade secrecy, privacy and cyber-security require controlled access, but cannot defeat a valid audit mandate. The precise entity, fund, revenue and legal gateway must be stated.

Therefore, CAG reach over private actors is functionally broad but legally bounded: follow the public resource or rupee, and stop at the justified scope.

Why this earns marks: It rejects both universal exclusion and universal jurisdiction, names four statutory gateways and uses the telecom case narrowly.

Original Solved Mains 6 - 15 marks, 250 words

Question: Explain the differentiated audit architecture for government departments, government companies and statutory corporations.

Model solution

Public ownership does not produce one uniform audit method; legal form determines the route.

Departments: [FACT] DPC Act Section 13 directly audits expenditure from Consolidated Funds and related fund transactions; Section 16 audits receipts and Section 17 stores/stock. Section 18 supplies record access. Findings follow Article 151.

Government companies: [FACT] Section 19 operates with the Companies Act, 2013. Under Section 139(5)/(7), the CAG appoints the statutory auditor. Under Section 143(5), the CAG may issue directions; Section 143(6) enables supplementary audit and comments/supplement; Section 143(7) permits test audit. [ANALYSIS] This layered design retains company-law financial statements while adding public-shareholding oversight.

Statutory corporations: [FACT] Section 19(2) makes the CAG's role depend on the corporation's establishing parliamentary legislation. State corporations may enter the Section 19(3) public-interest request route. Some statutes may provide sole CAG audit; others may combine primary auditors with CAG oversight.

Legislative specialisation: [FACT] PAC generally examines wider Union audit reports; CoPU specialises in specified public undertakings and related CAG reports. [LIMIT] CAG findings remain distinct from committee conclusions.

The differentiated model respects corporate form and governing statutes while preserving public accountability. Its weakness is complexity: legislators and examinees must identify the correct legal route rather than rely on the label “PSU”.

Why this earns marks: It structures by entity, names exact legal mechanisms and connects audit form to parliamentary scrutiny.

Original Solved Mains 7 - 20 marks, 250 words

Question: Evaluate the CAG-PAC-CoPU accountability chain. Why do authoritative audit findings not always produce timely executive correction?

Model solution

The CAG-PAC-CoPU chain converts financial records into legislative accountability, but it is sequential and vulnerable to delay at every stage.

Audit stage: [FACT] Articles 149 and 151, read with the DPC Act, enable independent examination and require reports to move through the President/Governor to the legislature. Section 18 access and professional standards strengthen evidence quality.

Legislative stage: [FACT] PAC examines appropriation/finance accounts and relevant CAG reports; CoPU examines public undertakings and related reports. CAG acts as technical friend, philosopher and guide. Committees call ministries/entities, test replies and issue their own findings.

Executive stage: Ministries submit action-taken responses, recover or regularise where legally justified, initiate discipline through competent authorities and reform systems.

Why impact decays:

1. [ANALYSIS] Reports may be laid late or contain many paragraphs competing for committee time.
2. Committee selection is necessarily selective and members face expertise and research constraints.
3. Ministry replies may be delayed, defensive or limited to case-specific compliance.
4. Action-taken monitoring can focus on closure rather than systemic prevention.
5. Coalition/majority incentives affect political salience.
6. Complex digital, PPP and multi-agency transactions diffuse responsibility.

[FACT] *Arun Kumar Agrawal* correctly treats the CAG report as respected but subject to parliamentary scrutiny; audit is not a self-executing decree.

Reform: public timelines, recommendation-wise action dashboards, dedicated committee research, thematic clustering, repeat-audit follow-up and transparent reasons for non-acceptance.

[LIMIT] Automatic binding force would collapse audit into executive/adjudicatory command.

Therefore, the chain's legitimacy lies in institutional separation; its effectiveness requires faster, evidence-rich connections between those institutions.

Why this earns marks: It evaluates each stage, explains six causal bottlenecks, uses case law and proposes reforms consistent with separation of powers.

Original Solved Mains 8 - 20 marks, 250 words

Question: Suggest a reform agenda for strengthening the CAG in an era of digital government, off-budget structures, public-private delivery and decentralisation.

Model solution

Reform should strengthen mandate clarity, evidence access and legislative consequence without turning the CAG into an alternate executive.

Credible appointment: [ANALYSIS] Publish eligibility, conflict and consultation criteria and create a plural recommendation process by law or convention compatible with the President's Article 148 appointment.

Digital evidence: [CURRENT] The 2020 audit regulations recognise IT environments; CDMA has supported analytics since 2016; the 17 September 2025 official announcement signals remote-audit expansion. Government systems should provide secure APIs, immutable logs, data dictionaries and retention standards. Models must be documented, tested for false positives and corroborated by human/field evidence.

New delivery structures: PPPs, special-purpose vehicles, guarantees and revenue-share contracts should contain audit clauses identifying public grants, risk, assets, performance data and termination/reversion rights. [LIMIT] This clarifies a public-finance nexus; it does not create universal private audit.

Off-budget transparency: Legislatures should require comprehensive disclosure of guarantees, special vehicles, deferred liabilities and extra-budgetary borrowing so that audit can follow substance, not only legal form.

Local bodies: Strengthen State-law audit institutions, interoperable accounts and CAG Technical Guidance and Support. Articles 243J/243Z mean primary arrangements remain State-specific.

Legislative consequence: fixed timelines for laying, committee evidence and action-taken replies; dedicated PAC/CoPU research; public recommendation-wise reasons; repeat audits of systemic controls.

Capacity: recruit and train data, engineering, environment, procurement and sector specialists while preserving core audit judgement.

[LIMIT] CAG should expose illegality, imprudence and failure; penalties and policy choices remain with competent institutions.

The reform goal is “auditable government by design”: transparent selection, traceable public money, reproducible evidence and visible legislative follow-up.

Why this earns marks: It addresses all four transformations, uses dated official digital evidence, respects federal/private boundaries and offers an integrated institutional agenda.

Final consolidated register notes - Comptroller and Auditor General of India

Constitutional identity and four-Article spine

- [FACT] Article 148 creates and protects the office.
- [FACT] Article 149 is the parliamentary-law gateway for duties and powers.
- [FACT] Article 150: President prescribes Union/State account form on CAG advice.
- [FACT] Article 151: CAG -> President/Governor -> legislature.
- [LIMIT] The Constitution does not itself enumerate every audit category or state the six-year/65 rule.

Visual 47 - Four-Article rapid card

Article	Recall
148	office, oath, removal, conditions, IAAD, charged expenses, post-office bar
149	duties/powers as Parliament prescribes
150	form of accounts: President on CAG advice
151	reports laid through President/Governor

Appointment, tenure, removal and independence

- [FACT] Appointment: President by warrant under hand and seal.
- [FACT] Oath/affirmation: before President or presidential nominee; Third Schedule.
- [FACT] Tenure: DPC Act Section 4 - six years or age 65, whichever earlier.
- [FACT] Resignation: writing addressed to President.
- [FACT] Removal: like Supreme Court Judge; proved misbehaviour/incapacity and Article 124(4) legislative safeguard.
- [FACT] Salary/service disadvantage bar after appointment.
- [FACT] No further office under Union/State government.
- [FACT] CAG heads IAAD; presidential staff rules after consultation.
- [FACT] Specified office administrative expenses charged on CFI.
- [ANALYSIS] Independence is strongest after appointment; reform debate focuses on selection transparency and follow-up capacity.

Visual 48 - Independence mnemonic

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WARRANT
OATH
HARD REMOVAL
NO DISADVANTAGE
CHARGED OFFICE
NO NEXT GOVERNMENT OFFICE
ACCESS TO RECORDS
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Audit, accounts and control

- [FACT] Accounts = record/classify/compile/prepare.
- [FACT] Audit = independent examination of records, transactions, authority and results.
- [FACT] Sections 10-12 preserve account responsibilities where not relieved.
- [FACT] Union account departmentalisation occurred in 1976.
- [LIMIT] Never say CAG universally compiles all Union and State accounts.
- [FACT] Predominant role is ex-post audit, not day-to-day pre-authorisation.
- [FACT] *S. Subramaniam Balaji*: audit duty arises after expenditure; legality, validity and propriety examined.

Visual 49 - The central distinction

Pair	Correct answer
controller vs auditor	mainly auditor; no routine pre-issue approval
accounts vs audit	preparation vs independent assurance
report vs enforcement	disclosure/recommendation vs competent-authority action
CAG finding vs PAC conclusion	professional audit stage vs legislative stage

DPC Act section bank

Section	High-yield rule
4	six years or age 65; resignation to President
10-12	account compilation/preparation/assistance where applicable
13	Consolidated Fund expenditure; Contingency/Public Account transactions; departmental commercial accounts
14	substantially financed bodies; statutory tests and continuation
15	specific-purpose grant/loan assurance procedures
16	receipts payable into Consolidated Funds
17	stores and stock
18	office/document/information access
19	government companies and corporations
19A	laying company/corporation-related reports
20	entrusted body/authority audit
23	regulations on scope and extent
24	limited checks where warranted

Scope and public-finance nexus

- [FACT] Section 14(1): at least Rs 25 lakh and at least 75 per cent of total expenditure, subject to applicable law.
- [FACT] Section 14(2): at least Rs 1 crore plus previous approval; Section 14(3): two further years.
- [FACT] Section 15 does not automatically equal full entity audit; it scrutinises grant/loan assurance procedures.
- [FACT] Section 18 access follows a valid audit duty.
- [LIMIT] No universal audit of every private, NGO or PPP entity.
- [ANALYSIS] Use the rule: identify entity -> identify public fund/revenue/resource -> identify statutory/contractual gateway -> limit audit to justified scope.

Visual 50 - Jurisdiction checklist

```
1. WHAT IS THE ENTITY?
2. WHAT PUBLIC MONEY / REVENUE / RESOURCE IS INVOLVED?
3. WHICH SECTION OR SPECIAL LAW APPLIES?
4. WHAT RECORDS ARE NECESSARY?
5. WHAT IS OUTSIDE THE JUSTIFIED SCOPE?
```

Audit types and boundaries

Audit type	Exam definition	Limit
financial	fair presentation under reporting framework	not proof of programme success
compliance	conformity with law, rules, sanctions and contracts	legality alone may miss waste
propriety	wisdom, faithfulness and economy	not unlimited policy veto
performance	economy, efficiency, effectiveness	focus on implementation/results
receipts	assessment, collection and allocation controls	tied to public-revenue mandate
IT/environment/thematic	specialised system/subject audit	method/domain, not separate constitutional office

- [FACT] *Arvind Gupta*: three-E performance audit is in-built in the 1971 Act.
- [ANALYSIS] Legality is the floor; propriety examines prudence; performance examines results.

Companies and corporations

- [FACT] Government-company statutory auditor appointed by CAG under Companies Act Section 139(5)/(7).
- [FACT] CAG directions: Section 143(5).
- [FACT] Supplementary audit/comments: Section 143(6).
- [FACT] Test audit: Section 143(7).
- [LIMIT] Government-company audit is not identical to departmental Section 13 audit.
- [FACT] Statutory-corporation route depends on governing legislation plus Section 19.
- [LIMIT] Never assume one identical audit model for every PSU or corporation.

Visual 51 - Entity-route recall

Entity	Route
department	Sections 13, 16, 17, 18
government company	Section 19 + Companies Act 139/143
statutory corporation	establishing law + Section 19
substantially financed body	Section 14
specific-purpose grantee	Section 15
otherwise entrusted body	Section 20

Cases in one line

- [FACT] *Arvind Gupta* - performance audit/three E's valid.
- [FACT] *S. Subramaniam Balaji* - post-expenditure legality, validity and propriety.
- [FACT] *Arun Kumar Agrawal* - CAG report respected but subject to parliamentary scrutiny; not automatic final proof.
- [FACT] *Association of Unified Telecom Service Providers* - audit may follow government revenue share from public-resource licence.
- [LIMIT] Telecom case does not create universal private-company audit.

Legislature, PAC and CoPU

- [FACT] Union: CAG -> President -> both Houses.
- [FACT] State: CAG -> Governor -> State legislature.
- [FACT] PAC examines appropriation/finance accounts and relevant CAG reports.
- [FACT] CoPU examines specified public undertakings and relevant CAG reports.
- [FACT] CAG is friend, philosopher and guide to PAC analytically/technically.
- [LIMIT] CAG is not a PAC member and does not write the committee's final conclusion.
- [LIMIT] CAG does not directly punish or recover.
- [ANALYSIS] Audit impact = report quality x timely laying x committee scrutiny x executive action.

Local bodies and fiscal links

- [FACT] Articles 243J/243Z permit State-law provision for local accounts/audit.
- [FACT] Articles 243I/243Y create State Finance Commission fiscal review.
- [FACT] Article 280(3)(bb)/(c) links Union Finance Commission recommendations to SFC-based State-fund augmentation for local bodies.
- [FACT] CAG TGS may provide standards, training, test checks and quality support.
- [LIMIT] CAG is not automatically primary auditor of every Panchayat/Municipality.
- [LIMIT] Social audit is community verification, not CAG audit.

Digital audit and reform register

- [CURRENT] 2020 Regulations: audit in IT environments and digital-record access framework.
- [CURRENT] CDMA: IAAD data-analytics nodal centre since June 2016.
- [CURRENT] 17 September 2025: official strategic shift towards remote auditing.
- [LIMIT] Do not say every audit is remote or AI-generated.
- [ANALYSIS] Digital evidence needs provenance, quality checks, documented criteria, human judgement, corroboration and auditee response.
- [ANALYSIS] Reform priorities: transparent selection criteria; plural recommendation process; secure data access; PPP audit clauses; timely laying; stronger PAC/CoPU research; public action tracking; local TGS capacity.
- [LIMIT] Stronger follow-up is preferable to making every CAG recommendation automatically binding.

Visual 52 - Final answer spine

```
THESIS
CAG = independent constitutional auditor, not alternate executive
        |
ARTICLE 148 safeguards
        |
ARTICLE 149 + DPC ACT mandate
        |
AUDIT TYPES + PUBLIC-MONEY NEXUS
        |
ARTICLE 150 / ACCOUNTS DISTINCTION
        |
ARTICLE 151 -> PAC / CoPU -> ACTION TAKEN
        |
LIMITS: ex post, no direct punishment, bounded private reach
        |
REFORM: appointment credibility + digital access + timely follow-up
```

PYQ thesis bank

- **2018 direct:** strong Article 148 terms + statutory tenure + Articles 149-151/DPC powers + ex-post limit.
- **2024 direct:** legality is the floor; propriety and performance protect value; policy choice remains elected.
- **Committee adjacency:** Estimates is prospective; PAC is post-audit; CoPU is undertaking-specific.
- **Accountability adjacency:** Parliament has strong instruments, but time, party discipline and follow-up determine effect.

Last-minute traps

1. Article 148 does not numerically state six years or 65.
2. Article 149 does not list every audit function.
3. Article 150 = President on CAG advice, not CAG alone.
4. Article 151 = report through President/Governor, not direct tabling.
5. CAG predominantly audits after expenditure.
6. CAG does not directly punish, prosecute or recover.
7. Section 18 access requires an existing audit mandate.

8. Propriety is not identical to legality.
9. Performance audit is not a policy veto.
10. Government-company audit is layered under Companies Act Sections 139/143.
11. Statutory corporations follow their governing laws.
12. Telecom revenue-share holding is not universal private audit.
13. CAG assists PAC/CoPU but committees decide for themselves.
14. Local-body primary audit is State-law/arrangement dependent.
15. Digital analytics flags risk; it does not prove guilt.

Rapid conclusion

[ANALYSIS] The CAG protects the legislature's power of the purse by independently converting public financial records into constitutional reports. Its office is strongly insulated, its audit reach is broad where Parliament has supplied a public-money nexus, and its methods extend from legality to prudence and performance. Yet it remains an ex-post, recommendatory auditor. Democratic accountability is completed only when legislatures, PAC/CoPU and the executive act on evidence with reasons.